

University of Waterloo
Department of Economics
ECON 202-002&-003 W2025
Assignment # 2
Due: April 2, by 11:59pm

1. Explain and graph the impact on the saving demand curve, investment demand curve, equilibrium r^* , S , and I , of the following changes:
 - a) Current Y rises.
 - b) A new government is elected and cuts the effective tax rate on capital.
 - c) The depreciation rate of capital rises.

2. Consider how our fractional reserve banking system influences money supply via the multiple expansions of loans and deposits.
 - a) What are the implications of a lower currency deposit ratio on the money supply? Explain.
 - b) From a bank's perspective, list one advantage and one disadvantage of a low reserve deposit ratio.
 - c) What would happen to money supply if the reserve deposit ratio were increased to 1 (100%)? Explain.

3. Answer the following questions:
 - a) Graph and explain the impact of increased government spending on S^* , I^* , r^* , Y , P , N & w in sticky wage framework.
 - b) Did the Canadian economy experience any of these effects as Government spending increased partway through the covid pandemic? Explain.

4. Suppose Germany uses an expansionary monetary policy resulting in higher Y in Germany. Assume the Y effect dominates changes in NX in Germany and abroad and answer the following questions.
 - a) How will Germany's monetary policy impact the economy of their trading partner the UK? Specifically, how will the UK's Y , r , and NX change?
 - b) What happens to the UK exchange rate? Use a diagram for UK's exchange market to help you explain what happens to e_{uk} .

5. Access Statistics Canada's table 11-10-0134-01 and download the Gini coefficients for total income and after tax income for Canada, Ontario, and the Atlantic Provinces from the earliest to the most current date.
 - a) Graph these two Gini measures for Canada across time. What do you observe about the Gini for total income vs after-tax income? (2)
 - b) Compare Gini trends for Ontario and the Atlantic Provinces. What do you observe? (4)